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Compromise in hard times? The impact of deglobalization on corporate social responsibility in the US–China supply chain

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Abstract

This study examines the effect of the US–China trade tensions on the corporate social responsibility (CSR) performance of the Chinese suppliers most affected by the 2018 US tariff surges. Using a difference-in-differences approach, we find that Chinese suppliers with direct US corporate customers experience a significant decline in CSR performance, compared with their peers without direct US corporate customers. We also show that the adverse effect of tariff surges on Chinese suppliers' CSR performance is concentrated among those with a strong cost leadership strategy. However, the CSR performance of Chinese suppliers that have direct US corporate customers with high CSR awareness is not affected by the tariff surges. Further analyses reveal that the negative effects of the trade tensions on CSR performance are felt most strongly by the employees of Chinese suppliers. Taken together, despite the challenges posed by the deglobalization wave to the diffusion of CSR across global supply chains, the increasing demand for CSR involvement from US corporate customers can exert significant pressure on Chinese suppliers' CSR performance.

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KEYWORDS

corporate customers, corporate social responsibility, cost leadership, CSR performance, deglobalization, differentiation, global supply chains, long-term orientation, trade policy, trade tensions

JEL CLASSIFICATION

F13, F51, M14, M40, O24

1 | INTRODUCTION

In 2018, the US–China trade relations underwent a significant shift as the two countries became involved in a trade dispute. The United States initiated a series of escalating tariffs on approximately \$250 billion worth of Chinese imports, accounting for over half of the total value of Chinese imports in 2017, resulting in a surge in tariffs of over 20% (Fajgelbaum & Khandelwal, 2022). China retaliated by imposing tariffs on \$100 billion worth of US imports, representing 85% of the value of US imports in 2017. This change in trade relations marked a departure from the United States's previous efforts to support trade liberalization and economic cooperation globally. Despite a phase-one agreement reached in January 2020 to ease tariff tensions, the tariff increases remain in effect beyond 2022. The US–China trade conflicts exemplify a trend toward deglobalization and rank among the most substantial and abrupt shifts in US trade policy history. The trade tensions have elevated direct costs, increased market turmoil, reduced investments and trade and lowered productivity, cutting global economic growth to its slowest pace since the 2008–2009 financial crisis. If these trade tensions continue to fester, the world economic outlook could be substantially darkened (International Monetary Fund, 2019). As a result of the unexpected and disruptive changes in trade policies, businesses across the globe have had to reassess their short- and long-term strategies for their operations, investments, survival and growth. This study explores the extent to which the corporate social responsibility (CSR) performance of global supply chains, particularly focusing on the Chinese suppliers most affected by the 2018 US tariff surges, is affected by the ongoing US–China trade tensions.

We are motivated by several factors to explore this research topic. First, in the contemporary global business environment, stakeholders such as consumers, investors and regulatory bodies increasingly value ethical and sustainable business practices (J. B. Kim et al., 2018; Mao & Weathers, 2019; K. T. Wang & Wu, 2023). The positive impact of foreign stakeholders on CSR practices is well-established (R. Dai et al., 2021; Dyck et al., 2019), particularly in the context of China (Xiaomeng Chen et al., 2023; Z. Li & Wang, 2023; Z. Li et al., 2021). As trade tensions escalate, these stakeholders pay closer attention to how firms address social and environmental responsibilities. While CSR is acknowledged as beneficial, it is not without challenges. Second, consumers are more inclined to support brands that embrace social responsibility (Sen & Bhattacharya, 2001). Firms demonstrating a commitment to CSR not only maintain customer loyalty and competitive advantage (Benlemlih & Girerd-Potin, 2017; Gregory et al., 2016; Hoepner et al., 2016; Iglesias et al., 2020) but can also navigate potential boycotts more effectively during trade conflicts. However, the relationship between CSR and trade tensions encompasses both positive and negative dimensions. This study recognizes that implementing strong CSR practices involves challenges, including high costs and uncertain outcomes. As firms deal with the resource-intensive nature of CSR, especially during escalating trade tensions, strategic decisions become crucial.

Our objective is not only to recognize the positive aspects of CSR but also to illuminate potential drawbacks, shedding light on the complex dynamics involved. This dual perspective, considering CSR as both an asset and a challenge, constitutes the core focus of our study. By exploring the relationship between economic considerations and the ethical aspects of CSR within the global supply chain, we seek to provide a comprehensive understanding of how firms strategically position themselves during periods of heightened trade tensions.

The attention of investors and stakeholders is increasingly drawn to the CSR performance along these supply chains (R. Dai et al., 2021; Darendeli et al., 2022). From the supplier's viewpoint, CSR performance serves as a tool to enhance customer–supplier relationships. Interviews with corporate executives have revealed that suppliers' CSR practices are becoming increasingly important in building and expanding such relationships (Liu et al., 2023). A strong relationship with customers can help suppliers to improve their financial performance (Patatoukas, 2012), meet customers' demands effectively and expand the supply chain surplus (Osadchiy et al., 2016) and elevate supply chain productivity, efficiency and innovation (Chu et al., 2019; Serpa & Krishnan, 2018). One of the critical aspects of customer–supplier relationships is long-term orientation, as it involves sacrificing immediate gains for the benefit of both the customer and the supplier over an extended period (Cannon et al., 2010; Ganesan, 1994). CSR activities are viewed as relational investments that contribute to building and strengthening customer–supplier relationships (Liu et al., 2023; Villena, 2019). The payoffs from pursuing CSR actions take time to materialize as suppliers gradually build positive reputations through their CSR efforts.

A firm is expected to pursue actions that generate long-term value while also achieving short-term goals to ensure its survival (Porter, 1992; Souder & Shaver, 2010). Management scholars have stressed the significance of balancing these competing needs to secure both short-term results and long-term value creation (Marginson & McAulay, 2008; Slawinski & Bansal, 2012). The escalation of trade tensions between the United States and China has heightened uncertainty about the future of the global trading system and international cooperation. This has accelerated the slide in trade and manufacturing as well as hampered business confidence, investment decisions, productivity and growth (International Monetary Fund, 2019). Jiao et al. (2022) observe a decline in total exports and sales among Chinese exporters during the US–China trade conflicts, with the reductions entirely stemming from the decreased exports to the United States due to the surges in tariffs. We argue that Chinese suppliers that are exposed to significant tariff increases encounter challenges in investing resources for future-oriented benefits since they prioritize sustaining their core business at present. Moreover, committing resources to future-oriented CSR activities could force Chinese suppliers to forgo other opportunities with the potential to enhance their competitive standing in the short run. As these suppliers may not survive long enough to reap the benefits of future-oriented CSR investments, we propose hypothesis 1 (H1): Chinese suppliers that are exposed to surging tariffs experience a decline in CSR performance.

Using various data sources, we identify the industries affected by the tariffs resulting from the trade tensions between the United States and China. Subsequently, we distinguish between Chinese suppliers with and without direct US corporate customers, utilizing customer–supplier relationship data from FactSet.¹ After analyzing a sample of Chinese supplier firm-year observations for 2017 and 2019, our initial findings reveal that Chinese suppliers in industries subjected to the 2018 US tariff surges and with direct US customers face a negative impact on their operating performance due to the reduced demand resulting from the trade tensions. Subsequently, we observe that these suppliers experience a significant decline in CSR performance, compared with their peers in the same industries without direct US customers. These findings suggest that Chinese suppliers, facing various imminent challenges during the trade tensions, are compelled to reduce their investments in CSR activities.

Second, suppliers may adopt different competitive strategies to gain an advantage over their competitors by improving their product pricing or performance appeal to customers. Consequently, how a firm balances its engagement in CSR activities depends on its chosen competitive strategy: cost leadership or differentiation (Duanmu et al., 2018; Yuan et al., 2020). We argue that Chinese suppliers that employ a cost leadership strategy face great pressure on their production costs in the wake of the US–China trade conflicts. They may have limited resources to engage in CSR practices as their profit margins are so narrow. Therefore, these suppliers may reduce their CSR engagement to maintain their razor-thin profit and strive for survival. In contrast, suppliers that pursue a differentiation strategy can create long-term value through CSR engagement by developing innovative products with CSR attributes and enhancing their positive reputation with socially responsible images. Therefore, we form hypothesis 2 (H2): Chinese suppliers that prioritize cost leadership are more adversely affected by US tariff surges with respect to their CSR performance than those that focus on differentiation.

¹ We categorize firms that have first-tier corporate customers from the United States as those with direct US corporate customers.

We measure a firm's cost leadership and differentiation competencies by comparing them to the industry median (Duanmu et al., 2018; Gao et al., 2010). Specifically, we evaluate cost leadership competencies by calculating the ratio of selling and administrative expenses to total sales, and we assess differentiation competencies by calculating the ratio of research and development (R&D) expenses to total sales. Based on these metrics, we categorize Chinese suppliers into strong and weak cost leadership groups and differentiation groups relative to the sample median. Our analysis reveals that, in the post-trade conflict period, the CSR performance of the suppliers with a focus on differentiation and those in the weak cost leadership group is not significantly different from that of the control group. However, the CSR performance of the suppliers in the strong cost leadership group is adversely affected. These results support H2.

Third, the CSR performance of suppliers is heavily influenced by corporate customers with high CSR awareness (R. Dai et al., 2021; Darendeli et al., 2022; She, 2022). Suppliers' involvement in CSR-related scandals can expose corporate customers to legal and reputational risks, as well as potentially disrupt the supply chain (R. Dai et al., 2021; Pizzetti et al., 2021). Consequently, to reduce the exposure to CSR-related issues propagated through the supply chain, corporate customers are incentivized to ensure that their suppliers engage in CSR practices. Therefore, we form hypothesis 3 (H3): When the US corporate customers of Chinese suppliers have higher CSR awareness, the impact of tariff surges on the CSR performance of Chinese suppliers is reduced.

After classifying Chinese suppliers into subgroups based on the degree of CSR awareness among their US corporate customer base, we find that Chinese suppliers catering to highly CSR-conscious corporate customers do not experience a substantial negative impact on their CSR performance. Instead, these suppliers maintain their commitment to CSR practices despite the trade tensions, suggesting that the presence of corporate customers with elevated CSR consciousness can mitigate the negative impact of the trade conflicts on the CSR performance of suppliers. Our study underscores the significance of corporate customers as a critical stakeholder group in encouraging socially responsible practices among global supply chains.

Additional analyses provide evidence that employees are the most adversely affected by the US–China trade tensions as Chinese suppliers appear to withhold their CSR commitment to this stakeholder group. However, our results show that suppliers with high levels of operational slack and customer diversification are not negatively affected by the tariff hikes in terms of their CSR performance. Moreover, we do not find evidence to support the alternative explanation that the decrease in CSR performance among Chinese suppliers can be attributed to managerial short-termism.

This study contributes to the literature in several ways. First, amid the US–China trade conflicts and the ongoing deglobalization trend, it is uncertain how CSR practices throughout global supply chains will be affected. This paper adds to the existing literature by demonstrating the adverse consequences of the trade conflict-induced deglobalization wave on the CSR performance of Chinese suppliers. Specifically, we explore how trade tensions affect firms' future orientation. Our findings suggest that external pressures can shorten firms' time horizons, causing them to prioritize short-term outcomes over long-term value. By shedding light on the factors that shape organizational time horizons, our work offers a deeper understanding of the phenomenon and its implications for deglobalization. Specifically, our investigation reveals that deglobalization can have unintended consequences as Chinese suppliers prioritize short-term survival, which could have significant ramifications for future trade policy decisions.

Second, this work contributes to the literature on how a firm's competitive strategy affects its CSR activities in an ever-changing world economy, with a focus on deglobalization. While Yuan et al. (2020) find that firms with a differentiation strategy are more likely to engage in CSR and are better equipped to manage uncertainty and risk, our study specifically focuses on the consequences of the US–China trade tensions for Chinese suppliers. Our findings show that Chinese suppliers that pursue a differentiation strategy prioritize CSR engagement to create long-term value and maintain CSR performance, even when confronted with tariff surges. In contrast, suppliers that prioritize cost leadership tend to reduce their CSR commitment to maintain their competitive edge. Therefore, these different implications underscore the need for suppliers following a cost leadership strategy to reassess their competitive stance in the light of deglobalization and corporate demands for CSR involvement.

Third, during the era of globalization, firms in developed economies collaborated closely with their suppliers in emerging markets to encourage the adoption of socially responsible practices, which helps to diffuse CSR throughout global supply chains (R. Dai et al., 2021; Schiller, 2018). Despite showing the adverse effects of the deglobalization wave resulting from the trade tensions on the CSR performance of Chinese suppliers, we also present evidence of how US corporate customers' focus on CSR can mitigate this negative impact of deglobalization on the CSR performance of Chinese suppliers. Thus, our findings complement those of R. Dai et al. (2021) and Schiller (2018) by suggesting that corporate customers' increasing demand for CSR involvement can exert significant pressure on suppliers' CSR performance despite the challenges posed by deglobalization. This highlights the importance of the customer-supplier relationship in promoting CSR engagement.

2 | BACKGROUND AND HYPOTHESIS DEVELOPMENT

2.1 | US-China trade tensions

Trade tensions between the United States and China have risen sharply following a sequence of tariff hikes and threats since early 2018. This escalation began with the imposition of tariffs on imported solar panels and washing machines in January 2018, following investigations conducted under Section 201 of the Trade Act of 1974. This section enabled the US president at the time, Donald Trump, to apply global safeguard tariffs on these products to protect domestic producers. In March 2018, there was a further increase in tariffs on imported steel and aluminum products, which were imposed following investigations conducted under Section 232 of the Trade Expansion Act of 1962. This section authorizes the US president, then Donald Trump, to impose tariff measures on steel and aluminum imports based on national security grounds. The tariffs were applied to many countries, including China, which resulted in them and other trade partners retaliating with their own tariff actions.

Since then, there have been several rounds of tariff hikes and threats between the United States and China. In March 2018, an investigation under Section 301 of the Trade Act of 1974 was initiated against China's trade practices, with the United States accusing China of engaging in unfair trade practices, such as forced technology transfer and intellectual property theft. As a result of these accusations, the United States implemented multiple rounds of tariff hikes on imports from China throughout 2018 and 2019, with China retaliating in each round of tariff hikes. Specifically, the United States announced and implemented the first round of escalating tariffs in June and July 2018, imposing 25% tariffs on \$34 billion in imports from China. The second tariff wave was declared and implemented in August 2018, including new 25% tariffs on \$16 billion worth of Chinese imports. The third tariff round took place in July and September 2018, applying 10% tariffs to \$200 billion worth of Chinese imports that had not yet incurred tariffs. In May 2019, the United States imposed an additional 15% increase on the already tariffed \$200 billion in imports from China.

According to economists, the US-China trade tensions are comparable in magnitude to the Smoot-Hawley tariffs of 1930. They find that the United States imposed tariffs on imports equivalent to around 2.6% of the US gross domestic product (GDP) during this period of trade tensions, whereas the Smoot-Hawley legislation imposed tariffs on imports corresponding to 1.4% of the US GDP. As a result, the US-China trade tensions are considered one of the most significant and abrupt shifts in US trade policy history (Fajgelbaum & Khandelwal, 2022). The trade tensions between the United States and China were unprecedented and highly disruptive, catching many global firms off guard. Due to the tariff hikes, these firms were forced to re-evaluate their short-term and long-term strategies with respect to their operations, investments, survival and growth due to the tariff hikes.

2.2 | Hypothesis development

A growing body of literature has focused on temporal orientation (e.g., short-termism vs. future orientation) at the organizational level and has established that the temporal orientation of a firm can be influenced by its context.

Long-term orientation or future orientation pertains to prioritizing the development of long-term business sustainability and a future competitive advantage (T. Wang & Bansal, 2012). However, firms often emphasize short-term gains over long-term returns, even if this results in negative consequences in the long run. This behavior is known as short-termism (Laverly, 1996).

Souder and Shaver (2010) suggest that a firm assesses new projects in the context of how they would affect its existing operations, evaluating their payoffs based on the firm's priorities. The need for survival takes precedence among the firm's priorities. The firm's willingness to invest in future-oriented projects can be influenced by the changing organization conditions affecting its survival prospects. The literature suggests that there are situations in which short-termism is necessary, especially when resource constraints are severe or operating performance is poor (A. Kim et al., 2019; Slawinski & Bansal, 2012). Such situations underscore the importance of a firm's survival needs. Souder and Shaver (2010) find that firms with poor operational performance are less likely to invest in projects with long-term returns than those with strong operational performance since the former face greater survival threats during the time before such long-term returns are realized. Conversely, firms with abundant resources are more capable of pursuing future-oriented investments despite the longer time horizon required to realize the benefits (A. Kim et al., 2019; Souder & Bromiley, 2012).

Around the dates when the tariff hikes were announced in 2018, both Chinese and US firms relying on exports to the United States or imports from China experienced greater reductions in market values. This highlights that trade tensions have a detrimental effect on firm valuations via worsening financial market sentiment and increasing trade policy uncertainty (Huang et al., 2023). Benguria et al. (2022) find that Chinese firms confronting tariff hikes experience a shock in trade policy uncertainty, which leads to declines in investments and profits. Consequently, He et al. (2021) show that Chinese firms exposed to tariff hikes decrease their labor demand by reducing job postings and offering lower wages.

Engaging in CSR activities can be seen as a form of relational investment in building and enhancing customer-supplier relationships (Liu et al., 2023; Villena, 2019). The benefits of engaging in CSR activities are not immediately apparent as it takes time for suppliers to establish a positive reputation through their CSR actions. Once a supplier has built a strong CSR reputation, it can gain legitimacy with stakeholders. These payoffs are achieved via the gradual strengthening of the supplier's CSR reputation. However, investing in future-oriented CSR activities may divert resources from the supplier's day-to-day operations. While these activities can create long-term value by fostering innovation, integrating CSR attributes into products and enhancing customer-supplier relationships, their benefits may not be realized immediately.

When a firm performs poorly, it typically has fewer available resources. It is often necessary for the firm to focus on the present and prioritize immediate concerns (A. Kim et al., 2019). Short-term-oriented business decisions enable firms to emphasize efficiency, leverage current capabilities and prioritize near-term business implications, which is a crucial capability for survival (Slawinski & Bansal, 2012). In addition, such decisions help firms to accentuate their current competencies, which yields immediate benefits (Levinthal & March, 1993). Given the risk that Chinese suppliers may not survive long enough to realize the benefits of customer-supplier relationships under rising tariffs, we expect these firms to favor investments with short-term orientation over future-oriented alternatives. Thus, we propose the first hypothesis as follows:

H1. Chinese suppliers exposed to tariff surges experience a decline in CSR performance.

Suppliers' ability to maintain a supply relationship with customers is contingent upon the price and performance of their products (Cannon et al., 2010; Doney & Cannon, 1997). To satisfy customer demands, suppliers may adopt distinct competitive strategies, such as cost leadership or differentiation (Porter, 1980). A firm's approach to engaging in CSR activities is influenced by its competitive strategy (Duanmu et al., 2018; Yuan et al., 2020). Specifically, suppliers that prioritize cost leadership may have different approaches to CSR engagement from those that focus on differentiation, particularly in the wake of the US-China trade conflicts.

Engaging in CSR activities does not yield immediate financial returns but incurs significant expenditures (Fieseler, 2011). Suppliers that adopt a cost leadership strategy create their competitive advantage by reducing their production costs and offering lower prices, leaving them with limited resources to devote to CSR practices due to their narrow profit margins (Ioannou & Serafeim, 2012). Suppliers that pursue a cost leadership strategy are under pressure to maintain their price competitiveness by minimizing their production costs. With escalating tariffs imposed on their products, these suppliers may feel compelled to cut corners and reduce costs whenever possible. Consequently, we expect that Chinese suppliers prioritizing cost leadership may have to decrease their engagement in CSR practices in response to US tariff surges as they strive to survive and maintain their narrow profit margins.

Suppliers that pursue a differentiation strategy prioritize product performance to appeal to customers and are more likely to invest in CSR activities. These firms recognize that they can generate long-term value through CSR by developing innovative products or incorporating CSR attributes into their products (Yuan et al., 2020). Although investing in product development and process innovations may involve upfront costs, the benefits are likely to be realized over the long term. As such, firms that prioritize differentiation tend to retain resources in future-oriented initiatives. These suppliers recognize that the benefits of CSR take time to materialize as they gradually develop positive reputations through CSR activities and strengthen their relationships with customers. We posit that Chinese suppliers that prioritize differentiation are less likely to be affected by rising tariffs in terms of their engagement in CSR activities. Thus, we form the following hypothesis:

H2. Exposure to tariff surges has a greater impact on the CSR performance of Chinese suppliers that prioritize cost leadership than on the CSR performance of those that focus on differentiation.

Customer–supplier relationships are influenced by CSR practices. A supplier's engagement in CSR is of great economic significance to corporate customers (R. Dai et al., 2021; Darendeli et al., 2022; She, 2022). R. Dai et al. (2021) suggest that corporate customers' CSR standards positively influence suppliers' CSR practices, as these customers prioritize their own CSR efforts but also pay attention to their suppliers' CSR activities. This is because suppliers' CSR-related scandals can result in reputational damage, regulatory pressure and public outcry, which affect customers.

Using an experimental approach, Pizzetti et al. (2021) demonstrate that, when corporate customers are perceived as upholding high CSR standards but their suppliers are involved in socially irresponsible behavior, individuals tend to hold the customers responsible for not aligning their CSR standards with their business partners, the suppliers. In addition, R. Dai et al. (2021) provide empirical evidence that CSR-related scandals among suppliers, exemplified by instances such as China's Sanlu milk scandal and Toyota's Takata airbag recall, increase legal and reputational risks for both the suppliers and their corporate customers. As a result, the exposure to CSR-related issues can be transmitted from suppliers to corporate clientele, incentivizing the latter to wield more influence on their suppliers' CSR practices. Based on the above reasoning, we hypothesize that Chinese suppliers will face pressure from US corporate customers with high CSR standards to maintain their CSR performance amid the US–China trade tensions. We propose the third hypothesis as follows:

H3. Exposure to tariff surges has a smaller impact on the CSR performance of Chinese suppliers when their US corporate customers have higher CSR standards.

3 | US–CHINA TRADE TENSIONS AND CSR PERFORMANCE OF CHINESE SUPPLIERS

3.1 | Sample selection

To evaluate firms' CSR performance, we utilize Hexun's CSR rating (hexun.com), which gathers information from the annual and CSR reports of listed firms in China. This rating is widely recognized as one of the most comprehensive

CSR ratings in China-related research (e.g., Zhao et al., 2022; Zhu et al., 2022) and evaluates firms' CSR performance across five dimensions: investor, employee, customer–supplier relationship, environmental contribution and community perspective. To provide a more detailed assessment, Hexun uses 13 second-tier metrics and 37 third-tier metrics to evaluate these dimensions. The Hexun CSR score ranges from 0 to 100, with a higher score indicating a better CSR performance.

Following Benguria et al. (2022), we obtain data on the tariffs imposed throughout the US–China trade tensions by referring to two sources: the provisional inventory of imported goods subject to new duties in retaliation, released by the US trade representative, and the dataset on trade conflict tariffs provided by M. Li (2018). We identify the products affected by the tariff increases using the Harmonized System (HS) six-digit code. Next, we associate these HS codes with the relevant industries by utilizing the International Standard Industry Classification of All Economic Activities (ISIC) Revision 4. We then identify the industries affected by the 2018 US tariff hikes by aligning the ISIC with the China Securities Regulatory Commission (CSRC) industry classification. Appendix B provides several examples to illustrate this identification process. To identify the Chinese listed firms operating within the industries affected by the tariff increases, both with and without direct US corporate customers, we extract customer–supplier relationship data at the firm level from FactSet.²

To ensure robust identification and minimize the potential influence of other events, we commence with an initial sample of 7325 Chinese A-share firm-year observations for 2017 (prior to the US–China trade tensions) and 2019 (after the trade tensions) extracted from the China Securities Markets and Accounting Research Database. We exclude 2018 (the year of the trade conflict) from the sample. We end our sample in 2019 to address the potential impact of the Coronavirus disease (COVID-19) pandemic, which has caused significant disruptions to supply chains worldwide. This approach helps to mitigate the effect of this confounding factor on the US–China supply chain. We then delete the following observations: (a) 2288 observations operating in industries that are not affected by the US tariff increases on Chinese goods and (b) 255 observations with missing variables used in the main regression. Following these data selection process, we obtain a final sample of 4782 firm-year observations belonging to 2548 distinct firms. The sample selection process is presented in panel A of Table 1.

The distribution of the sample by industry is displayed in panel B of Table 1. The manufacturing sector, which includes the production of electronic and other equipment as well as chemicals and allied products, represents the largest share of the sample. The industry compositions of the firm-year observations in the treatment and control groups are comparable.

3.2 | Research design

To test H1, we use the difference-in-differences (DiD) approach to compare changes in the CSR performance of Chinese suppliers affected by the tariff surges resulting from the US–China trade tensions (treatment suppliers) with those not affected by the tariff surges (control suppliers). We estimate the regression specification as follows:

$$CSR_{i,t} = \beta_0 + \beta_1 TREAT_i + \beta_2 POST_{i,t} + \beta_3 TREAT_i \times POST_{i,t} + \sum \beta_k Controls_{i,t} + Industry\ FE + \varepsilon_{i,t}, \quad (1)$$

where i indexes the firm, and t indexes the year. CSR is the Chinese supplier's CSR performance rating score. $TREAT$ is a dummy variable equal to 1 if the Chinese supplier operating in industries subject to the 2018 US tariff surges has direct US customers and 0 otherwise. $POST$ is a dummy variable equal to 1 for the post-US–China trade conflict period

² We identify 21,847 customer–supplier relationships involving 1896 Chinese suppliers during our sample period from FactSet. Further narrowing our focus, we pinpoint 1795 US customer–Chinese supplier relationships within this dataset. Subsequently, we associate these relationships with industries affected by the tariff increases due to trade tensions, identifying 515 Chinese firms as the treatment suppliers in our analysis.

TABLE 1 Sample selection and distribution.

Panel A: Sample selection						
						Firm-years
A-share listed firm-year observations on the China Stock Market & Accounting Research Database (CSMAR) database in 2017 and 2019						7325
Less:						
Firm-year observations in industries that are not affected by the US tariff increases on Chinese goods						(2288)
Firm-year observations with missing variables						(255)
Total firm-year observations in the final sample						4782
Distinct firms						2548
Panel B: Industry distribution						
Industry	Treatment group	%	Control group	%	Full	%
Agriculture	13	1.31	29	0.77	42	0.88
Mining	6	0.60	27	0.71	33	0.69
Food and beverage	30	3.02	229	6.04	259	5.42
Textile and apparel	50	5.04	119	3.14	169	3.53
Furniture	6	0.60	40	1.06	46	0.96
Paper and allied products	26	2.62	77	2.03	103	2.15
Chemicals and allied products	155	15.63	771	20.34	926	19.36
Miscellaneous non-mental products	64	6.45	244	6.44	308	6.44
Miscellaneous mental products	54	5.44	255	6.73	309	6.46
Electronic equipment	187	18.85	476	12.56	663	13.86
Equipment excluding electronic equipment	350	35.28	1,166	30.77	1,516	31.70
Utilities	4	0.40	162	4.27	166	3.47
Transportation	2	0.20	7	0.18	9	0.19
Commercial services	22	2.22	68	1.79	90	1.88
Technical services	9	0.91	71	1.87	80	1.67
Entertainment	14	1.41	49	1.29	63	1.32
Total	992	100.00	3,790	100.00	4,782	100.00

Note: Panel A summarizes the sample selection process. Panel B presents the sample distribution by industry according to the China Securities Regulatory Commission industry classification.

and 0 otherwise. Our variable of interest is the interaction term $TREAT \times POST$, which captures the treatment effect of tariff surges on the Chinese supplier's CSR performance in the post-US–China trade conflict period. A negative β_3 would provide evidence in support of H1, showing that Chinese suppliers exposed to the tariff surges experience a decline in their CSR performance in the wake of the US–China trade tensions.

The regression specification includes control variables that prior studies have found to influence firms' CSR performance. Larger, older and more successful firms receive more attention from stakeholders and have more resources

to dedicate to CSR activities (Xiaomeng Chen et al., 2024; Ioannou & Serafeim, 2012). Consequently, we account for firm size (*SIZE*), firm age (*AGE*) and return on assets (*ROA*) in the model. Slack resources and institutional investors can incentivize firms to prioritize CSR initiatives (Clarkson et al., 2011; Dyck et al., 2019; Lys et al., 2015). As a result, we factor in financial leverage (*LEV*), the level of cash (*CASH*), the book-to-market ratio (*BTM*) and institutional ownership (*INSHOLD*). Moreover, given the significant influence of the Chinese government on firms' CSR activities (Liang & Chen, 2024), we control for state ownership (*STATE*) in our analysis. Additionally, research shows that strong corporate governance practices are positively associated with CSR performance (Harjoto & Jo, 2011). Therefore, we also incorporate board size (*BOARD*) into the model. Detailed variable definitions are provided in Appendix A.

We include industry fixed effects in the model. The industry fixed effects help to control for unobservable factors that are specific to the industry and remain constant over time between the treatment and control suppliers during the US–China trade tensions. We cluster standard errors at the firm level. All the continuous variables are winsorized at the top and bottom 1% levels to minimize the influence of outliers on the findings.

3.3 | Summary statistics

Table 2, panel A, reports the summary statistics for the main regression variables. The CSR score has an average (median) of 19.37 (20.84) with a standard deviation of 8.76, indicating considerable variation in CSR performance across the sample. The variable of interest, $TREAT \times POST$, has a mean value of 0.11, indicating that 11% of the observations in the sample are Chinese suppliers affected by the tariff hikes resulting from the US–China trade tensions. The descriptive statistics are comparable to those reported in previous studies (e.g., Zhao et al., 2022; Zhu et al., 2022).

Panel B provides descriptive statistics for the treatment and control groups. The treatment group, consisting of Chinese suppliers affected by the US tariff surges, has lower returns on assets and cash holdings than the control group. However, the treatment group comprises large firms that have more debt. It is worth noting that these firm characteristics are controlled for in the DiD estimation. The Pearson correlation matrix among the primary regression variables is presented in panel C. The correlation between $TREAT \times POST$ and CSR is statistically significant and negative, providing initial evidence in support of H1. Given the low correlation coefficients between the main regression variables, multicollinearity is unlikely to influence our findings.

3.4 | Did the trade tensions affect operating performance?

Our initial investigation considers whether the US–China trade tensions have adverse effects on the operational performance of Chinese suppliers, which may lead to a negative impact on their CSR performance. We expect that the operating performance of these suppliers will be negatively influenced by the reduced demand from US customers resulting from the trade tensions. Furthermore, Chinese suppliers face difficulties in expanding into new markets quickly due to challenges such as a lack of sales channels and distribution networks, differing product standards and limited brand recognition outside the US market (Jiao et al., 2022). To conduct this analysis, we substitute the dependent variable, CSR, in Equation (1) with ROA, ROE or sales growth (SG) separately. In line with Y. -C. Chen et al. (2018) and Hui et al. (2019), we incorporate control variables, including firm size (*SIZE*), financial leverage (*LEV*), firm age (*AGE*), degree of diversification (*CONGLO*), state ownership (*SOE*) and sales growth (SG), to account for factors that may influence a firm's profitability. The findings from this analysis are presented in Table 3.

The coefficients of $TREAT \times POST$ are significant and negative across all the columns of Table 3, indicating that Chinese suppliers that are affected by the tariff hikes experience a substantial decline in their operational performance following the US–China trade tensions, compared with the control group. The results align with our expectation that the decline in the operating performance of suppliers that have been affected by tariff increases could have a detrimental effect on their CSR performance.

TABLE 2 Descriptive statistics and correlations.

Panel A: Descriptive statistics for the full sample						
Variable	N	Mean	Std dev	P25	Median	P75
CSR	4782	19.37	8.76	15.16	20.84	25.22
TREAT	4782	0.21	0.41	0.00	0.00	0.00
POST	4782	0.52	0.50	0.00	1.00	1.00
TREAT × POST	4782	0.11	0.31	0.00	0.00	0.00
SIZE	4782	22.10	1.23	21.22	21.96	22.79
LEV	4782	0.40	0.20	0.24	0.38	0.53
ROA	4782	0.04	0.08	0.02	0.04	0.07
CASH	4782	0.15	0.11	0.07	0.11	0.19
BTM	4782	0.61	0.23	0.45	0.62	0.77
AGE	4782	2.93	0.29	2.77	2.94	3.14
SOE	4782	0.25	0.44	0.00	0.00	1.00
BOARD	4782	2.10	0.19	1.95	2.20	2.20
INDHOLD	4782	0.40	0.25	0.17	0.41	0.60
Panel B: Descriptive statistics for the treatment and control groups						
	Treatment group (N = 992)		Control group (N = 3790)			
Variable	Mean		Mean		Difference	
CSR	18.660		19.560		0.891***	
SIZE	22.360		22.030		−0.323***	
LEV	0.428		0.389		−0.039***	
ROA	0.026		0.039		0.013***	
CASH	0.134		0.149		0.015***	
BTM	0.606		0.615		0.009	
AGE	2.936		2.932		−0.005	
SOE	0.206		0.265		0.059***	
BOARD	2.097		2.104		0.007	
INDHOLD	0.390		0.403		0.013	
Panel C: Correlation matrix						
	(1)	(2)	(3)	(4)	(5)	(6)
(1) CSR	1					
(2) TREAT × POST	−0.322***	1				
(3) SIZE	−0.050	−0.028	1			
(4) LEV	−0.502***	0.242***	0.203***	1		
(5) ROA	0.766***	−0.350***	−0.007	−0.562***	1	
(6) CASH	0.386***	−0.134**	−0.149**	−0.434***	0.347***	1
(7) BTM	0.230	0.333***	0.466***	0.409***	−0.236**	−0.305***
(8) AGE	−0.171**	0.098	0.030	0.249***	−0.220***	−0.132**

(Continues)

TABLE 2 (Continued)

Panel C: Correlation matrix						
	(1)	(2)	(3)	(4)	(5)	(6)
(9) SOE	−0.113	−0.066	0.261***	0.200***	−0.091	−0.037
(10) BOARD	0.005	−0.149**	0.295***	0.082	−0.016	−0.006
(11) INSHOLD	0.105	−0.083	0.233***	0.055	0.056	−0.012
	(7)	(8)	(9)	(10)	(11)	
(7) BTM	1					
(8) AGE	0.309***	1				
(9) SOE	0.418***	0.284***	1			
(10) BOARD	0.108	−0.007	0.346***	1		
(11) INSHOLD	0.319***	0.002	0.403***	0.188***	1	

Note: Panel A reports the descriptive statistics for the full sample. Panel B presents the comparison between the treatment and control groups. Panel C contains the Pearson correlations among the main regression variables. All the variables are defined in Appendix A. ***, ** and * indicate significance at 10%, 5% and 1%, respectively.

3.5 | Results of testing H1

The results of testing H1 are shown in Table 4. The significant and negative coefficient of $TREAT \times POST$ in column 1 indicates that Chinese suppliers operating in industries affected by the 2018 US tariff hikes and having direct US customers experience a noteworthy decrease in their CSR performance following the trade tensions. This decline is notable in comparison with Chinese suppliers in the same industries without direct US customers. This result supports H1, implying that the trade tensions put substantial pressure on Chinese suppliers to cut back their CSR investments. Specifically, the coefficient of -0.879 indicates a notable decline in CSR performance among the treatment suppliers, equivalent to about one-tenth of the standard deviation. Consequently, the movement observed within the interquartile range ($25.22 - 15.16 = 10.06$, as reported in panel A of Table 2) reveals a more substantial reduction of approximately 8.7% in the CSR performance of treatment suppliers. This magnitude of decline aligns with the economic significance of CSR performance changes reported by previous studies (e.g., Xiaomeng Chen et al., 2023).

The results of an alternative model, incorporating firm fixed effects, are presented in column 2. $TREAT$ and $POST$ are excluded from this specification as they are absorbed by the firm fixed effects. The findings in column 2 align with those in column 1, reinforcing the consistency of our outcomes. Furthermore, we use CSR performance scores from Refinitiv's environmental, social and governance (ESG) database as an alternative measure of CSR performance.³ Although this results in a significant reduction in the number of firm-year observations, the coefficient of $TREAT \times POST$ remains significantly negative (untabulated) and reaffirms our primary findings.

3.6 | Propensity score matching (PSM) and entropy balancing matching

To mitigate concerns that the main findings of our study may be influenced by differences in firm characteristics between the treatment and control suppliers, we adopt two identification strategies. We first apply the PSM procedure to match treatment suppliers with control suppliers based on several firm characteristics in the year prior to the escalation of trade tensions (i.e., 2017). Specifically, we estimate the probability of a supplier being in the treatment

³ Refinitiv's ESG database (formerly the Thomson Reuters ASSET4 ESG database) provides environmental, social and governance information for more than 9000 companies across the world.

TABLE 3 The effect of the US–China trade tensions on the operating performance of Chinese suppliers.

Dependent variable	(1) ROA	(2) ROE	(3) SG
<i>TREAT</i>	−0.001 (−0.27)	−0.001 (−0.19)	0.048* (1.74)
<i>POST</i>	−0.003 (−1.24)	−0.006 (−1.27)	−0.169*** (−10.48)
<i>TREAT</i> × <i>POST</i>	−0.015*** (−3.02)	−0.044*** (−3.33)	−0.073** (−2.16)
<i>SIZE</i>	0.019*** (13.23)	0.038*** (10.37)	0.028*** (4.09)
<i>LEV</i>	−0.218*** (−20.88)	−0.355*** (−11.58)	0.026 (0.59)
<i>AGE</i>	−0.003 (−0.58)	−0.000 (−0.04)	−0.057** (−2.49)
<i>CONGLO</i>	−0.013** (−2.41)	−0.015 (−1.44)	−0.007 (−0.18)
<i>SOE</i>	0.001 (0.39)	0.005 (0.66)	−0.051*** (−3.15)
<i>SG</i>	0.040*** (11.06)	0.088*** (10.61)	
Controls	Yes	Yes	Yes
Observations	4559	4559	4559
Industry fixed effects	Yes	Yes	Yes
R-squared	0.294	0.185	0.068

Note: This table reports estimates from regressions examining the effect of the US–China trade tensions on the operating performance of Chinese suppliers. *t*-statistics are reported in parentheses. Heteroskedasticity-robust standard errors are clustered by firm. All the variables are defined in Appendix A. ***, ** and * indicate significance at 10%, 5% and 1%, respectively.

group by running a logit regression that includes all the control variables specified in Equation (1). We calculate the propensity score for each treatment supplier by using the predicted probability obtained from the logit regression. We then match each treatment supplier with a control supplier using nearest-neighbor matching based on the propensity score, with a maximum distance (or caliper) of 1% and without replacement. After implementing the PSM procedure, we obtain 969 unique treatment–control pairs. Panel A of Table 5 shows that the mean values of the matched firm characteristics for the treatment and control suppliers are not statistically significant.

Next, we use entropy balancing matching to generate a different control sample, which helps to overcome the design-related challenges in PSM and maximize the matched sample (Shipman et al., 2017). Following Chapman et al. (2019), we balance the mean and variance of all the control variables specified in Equation (1) by reweighting the control observations, thus achieving covariate balance and making the post-weighting distributional characteristics identical between the treatment and control suppliers. Panel B of Table 4 shows that the differences in the means and variances for the matching variables are minimal after reweighting. The findings from the regression analysis using the propensity score matched and entropy balancing matched samples in columns 1 and 2 of panel C are in line with the main results, indicating that the results are not influenced by the observable characteristics of the treatment and control suppliers.

TABLE 4 The effect of the US–China trade tensions on the corporate social responsibility (CSR) performance of Chinese suppliers.

Dependent variable	(1) CSR	(2) CSR
TREAT	0.399 (1.08)	
POST	0.056 (0.39)	1.022** (2.13)
TREAT × POST	−0.879** (−2.11)	−0.979** (−2.35)
SIZE	1.141*** (10.69)	−0.351 (−0.63)
LEV	−4.611*** (−7.17)	−0.574 (−0.34)
ROA	64.452*** (32.99)	58.384*** (23.84)
CASH	7.372*** (8.33)	5.936*** (3.71)
BTM	−0.162 (−0.30)	−1.246 (−1.31)
AGE	−0.500 (−1.49)	−8.896** (−2.14)
SOE	−1.441*** (−5.59)	−1.271 (−1.33)
BOARD	−0.113 (−0.23)	−1.338 (−1.23)
INSHOLD	2.016*** (4.90)	7.285*** (3.45)
Observations	4782	4782
Industry fixed effects	Yes	No
Firm fixed effects	No	Yes
R-squared	0.592	0.464

Note: This table reports estimates from regressions examining the effect of the US–China trade tensions on the CSR performance of Chinese suppliers. *t*-statistics are reported in parentheses. Heteroskedasticity-robust standard errors are clustered by firm. All the variables are defined in Appendix A. ***, ** and * indicate significance at 10%, 5% and 1%, respectively.

4 | INFLUENCE OF CHINESE SUPPLIERS' COMPETITIVE STRATEGIES

4.1 | Test of H2

H2 predicts that Chinese suppliers that prioritize cost leadership are more adversely affected by tariff surges with respect to their CSR performance than those that focus on differentiation. To evaluate a firm's competencies in cost leadership and differentiation, we utilize the selling and administrative expenses to total sales ratio to measure cost

TABLE 5 Propensity score matching (PSM) and entropy balanced matching.

Panel A: Propensity score matched sample						
Treatment suppliers				Control suppliers		
Variable	Mean			Mean	Difference	
CSR	20.170			20.200	−0.031	
SIZE	22.330			22.340	−0.012	
LEV	0.426			0.430	−0.004	
ROA	0.025			0.026	−0.001	
CASH	0.133			0.133	0.000	
BTM	0.606			0.609	−0.003	
AGE	2.937			2.938	−0.001	
SOE	0.209			0.204	0.005	
BOARD	2.096			2.096	0.000	
INSHOLD	0.387			0.370	0.018	
Panel B: Entropy balancing matched sample						
Treatment suppliers				Control suppliers		
Variable	Mean	Variance	Skewness	Mean	Variance	Skewness
CSR	20.270	94.550	1.428	20.270	94.530	−0.944
SIZE	22.350	1.132	0.717	22.350	1.132	0.502
LEV	0.428	0.033	0.147	0.428	0.033	0.386
ROA	0.025	0.009	−2.670	0.025	0.009	−2.269
CASH	0.133	0.009	1.671	0.133	0.009	1.472
BTM	0.606	0.048	0.109	0.605	0.048	0.000
AGE	2.938	0.076	−0.325	2.937	0.076	−0.487
SOE	0.207	0.164	1.447	0.207	0.164	1.447
BOARD	2.097	0.038	−0.469	2.097	0.038	−0.433
INSHOLD	0.388	0.057	0.066	0.388	0.057	0.114
Panel C: Regression results						

(Continues)

TABLE 5 (Continued)

Panel C: Regression results		
	(1)	(2)
	Propensity score matched sample	Entropy balancing matched sample
Dependent variable	CSR	CSR
LEV	−3.768*** (−3.47)	−4.545*** (−3.97)
ROA	61.777*** (26.43)	68.190*** (27.44)
CASH	9.458*** (5.13)	10.164*** (5.09)
BTM	−0.881 (−0.97)	−0.874 (−0.97)
AGE	−0.616 (−1.10)	−0.471 (−0.81)
SOE	−1.439*** (−3.21)	−1.583*** (−4.00)
BOARD	1.036 (1.34)	1.270 (1.47)
INSHOLD	2.413*** (3.43)	2.280*** (3.31)
Observations	1938	4650
Industry fixed effects	Yes	Yes
R-squared	0.583	0.602

Note: Panel A presents a univariate comparison of the matched variables following a PSM procedure. Panel B reports the descriptive statistics of the matched variables following an entropy balancing matching procedure. Panel C reports difference-in-differences estimates from regressions examining the effect of the US–China trade tensions on the CSR performance of Chinese suppliers using the propensity score matched and entropy balancing matched samples. *t*-statistics are reported in parentheses. Heteroskedasticity-robust standard errors are clustered by firm. All the variables are defined in Appendix A. ***, ** and * indicate significance at 10%, 5% and 1%, respectively.

leadership and the R&D expenses to total sales ratio to measure differentiation.⁴ These metrics are then compared to the industry median (Duanmu et al., 2018; Gao et al., 2010). To standardize these metrics, we calculate the deviation from the industry median and divide it by the possible range of values for each industry-year as shown in Equations (2) and (3). This yields values between −1 and 1.

$$\text{Cost Leadership Competencies}_{i,t} = \frac{(CL)_{i,j,t} - \text{median}_{-i,j,t}(CL)}{\text{range} \left\{ \left[(CL)_{i,j,t} - \text{median}_{-i,j,t}(CL) \right] \forall i \in j, t \right\}} \in [-1, 1], \quad (2)$$

$$\text{Differentiation Competencies}_{i,t} = \frac{(DF)_{i,j,t} - \text{median}_{-i,j,t}(DF)}{\text{range} \left\{ \left[(DF)_{i,j,t} - \text{median}_{-i,j,t}(DF) \right] \forall i \in j, t \right\}} \in [-1, 1], \quad (3)$$

⁴ We also employ the cost of sales to total sales ratio as an alternative measure of cost leadership. The results derived from this measure are quantitatively similar to those obtained using the selling and administrative expenses to total sales ratio.

where i indexes the firm, j indexes the industry, and t indexes the year. A low value of the cost leadership competencies score indicates that a firm is more effective in reducing costs and shows strong cost leadership,⁵ while a high value of the differentiation competencies score reflects strong differentiation. We classify Chinese suppliers into strong or weak cost leadership categories depending on whether their cost leadership competencies fall below or above the sample median. Similarly, we create strong or weak differentiation categories based on differentiation competencies above or below the sample median. Using these classifications, we form four subgroups: strong cost leadership and weak differentiation, strong differentiation and weak cost leadership, strong cost leadership and differentiation and weak cost leadership and differentiation. Next, we exclude the subgroup that exhibits both strong cost leadership and strong differentiation competencies from the sample, as it suggests that the firm is pursuing inconsistent strategies. We re-estimate Equation (1) using the other three groups. A negative β_3 for the strong cost leadership group would provide evidence that Chinese suppliers with cost leadership are more vulnerable to the negative impacts of the US–China trade tensions on their CSR performance, which supports H2.

4.2 | Results of testing H2

Table 6 presents the results of testing H2. In column 1, the coefficient of $TREAT \times POST$ is significant and negative, indicating that suppliers in the strong cost leadership group that are exposed to tariff hikes experience a significant decline in their CSR performance, compared with the control group. By contrast, the coefficients of $TREAT \times POST$ in column 2 for the strong differentiation and column 3 for the weak cost leadership group are not statistically significant. This indicates that the post-trade conflict CSR performance of suppliers that focus on differentiation or do not emphasize cost leadership is not significantly different from that of the control group. Moreover, the test of differences identifies a statistically significant distinction between the coefficients in columns 1 and 2. The economic impact of the coefficient in column 1 is substantially larger than that in columns 2 and 3, underscoring not only the statistical significance but also the economic significance of the reduction in CSR performance for suppliers with a cost leadership strategy. These results provide support for H2, which proposes that suppliers with a cost leadership strategy are more susceptible to the negative impacts on their CSR performance from the trade tensions than those with a differentiation strategy.

5 | THE INFLUENCE OF CSR-CONSCIOUS US CUSTOMERS

5.1 | Test of H3

H3 posits that the impact of tariff surges on the CSR performance of Chinese suppliers is lessened when their US corporate customers prioritize CSR. To test this hypothesis, we categorize Chinese suppliers into subgroups based on the level of CSR consciousness in their US corporate clientele base. Specifically, we form two subgroups based on whether their US corporate customers' CSR performance rating scores, sourced from Refinitiv's ESG database, are above or below the sample median.⁶ We then re-estimate Equation (1) for each subgroup to examine the influence of CSR-conscious corporate customers on the relationship between tariff surges and Chinese suppliers' CSR performance. If β_3 is found to be statistically insignificant for the high CSR-conscious customer subgroup, this would suggest that the

⁵ Firms that adopt a cost leadership strategy aim to achieve a competitive advantage by minimizing costs and offering products or services at lower prices than their competitors. This is typically accomplished through operational efficiency, streamlining processes, reducing waste and optimizing resource allocation (Banker et al., 2014). However, even though these firms may have lower costs, their profit margins might still be relatively low (Selling & Stickney, 1989). While low profit margins might be a characteristic of firms pursuing cost leadership, their success is not solely measured by high profit margins. Instead, their success lies in their ability to deliver products or services at lower costs than their competitors, capturing a larger market share through price-conscious customers.

⁶ If a Chinese supplier has multiple US corporate customers, we calculate the average CSR performance rating scores across these customers.

TABLE 6 The influence of Chinese suppliers' competitive strategies on the relationship between US–China trade tensions and their CSR performance.

Dependent variable: CSR	(1) Strong cost leadership and weak differentiation	(2) Weak cost leadership and strong differentiation	(3) Weak cost leadership and weak differentiation
<i>TREAT</i>	1.779*** (2.82)	−0.050 (−0.07)	−0.042 (−0.04)
<i>POST</i>	0.304 (1.07)	−0.480* (−1.68)	−0.045 (−0.12)
<i>TREAT</i> × <i>POST</i>	−2.615*** (−3.69)	0.059 (0.07)	−0.943 (−0.91)
<i>SIZE</i>	0.936*** (4.82)	1.205*** (5.78)	1.132*** (4.32)
<i>LEV</i>	−4.803*** (−4.59)	−3.039** (−2.43)	−4.674*** (−3.05)
<i>ROA</i>	71.178*** (12.85)	62.806*** (23.10)	81.027*** (13.50)
<i>CASH</i>	6.730*** (3.59)	8.566*** (6.64)	5.390** (2.10)
<i>BTM</i>	1.025 (0.98)	−0.403 (−0.41)	1.652 (1.17)
<i>AGE</i>	−0.225 (−0.39)	−0.209 (−0.33)	0.013 (0.02)
<i>SOE</i>	−1.242*** (−2.93)	−1.653*** (−2.98)	−1.433** (−2.51)
<i>BOARD</i>	−0.129 (−0.15)	0.818 (0.89)	0.091 (0.08)
<i>INSHOLD</i>	2.586*** (3.26)	1.607** (2.21)	2.018** (1.99)
	Difference in coefficients	(p-value)	
Columns 1 and 2	2.674	(0.006)	
Columns 1 and 3	1.672	(0.115)	
Columns 2 and 3	1.002	(0.386)	
Observations	1261	1473	954
Industry fixed effects	Yes	Yes	Yes
R-squared	0.584	0.617	0.621

Note: This table reports estimates from regressions examining the impact of Chinese suppliers' competitive strategies on the relationship between US–China trade tensions and their CSR performance. *t*-statistics are reported in parentheses. Heteroskedasticity-robust standard errors are clustered by firm. All the variables are defined in Appendix A. ***, ** and * indicate significance at 10%, 5% and 1%, respectively.

effect of tariff surges on the CSR performance of Chinese suppliers is mitigated when their US corporate customers have strong CSR standards, providing support for H3.

5.2 | Results of testing H3

The results of testing H3 are displayed in Table 7. Column 1 shows a significantly negative coefficient for $TREAT \times POST$ among Chinese suppliers serving minimally CSR-conscious corporate customers. By contrast, in column 2, the coefficient of $TREAT \times POST$ is not statistically significant for suppliers catering to highly CSR-conscious corporate customers, suggesting that the presence of US corporate customers with high levels of CSR consciousness can alleviate the negative impact of the trade tensions on the CSR performance of suppliers. Furthermore, the test of differences indicates a statistically significant contrast between the coefficients in columns 1 and 2. The economic impact of the coefficient in column 1 is five times larger than that in column 2, emphasizing both the statistical and economic significance of the decrease in CSR performance for suppliers with low CSR-conscious corporate customers. These results highlight the role of corporate customers as a critical stakeholder group in promoting corporate socially responsible behavior throughout global supply chains.⁷

6 | ADDITIONAL ANALYSES

6.1 | Individual CSR dimensions of Chinese suppliers

CSR activities can be categorized broadly into external and internal initiatives based on their focus on external or internal stakeholders (Hawn & Ioannou, 2016). External CSR activities address the needs of external stakeholders, such as the government, communities, customers, suppliers and investors. Examples of external CSR initiatives include commitments to environmental targets, philanthropic giving and community engagement programs (H. Wang & Qian, 2011). Conversely, internal CSR initiatives target internal stakeholders, primarily employees (Farooq et al., 2017). Such initiatives promote employee rights, self-advocacy and skill development. Examples of internal CSR activities include benefit-sharing plans, ethical labor practices, diversity policies and employee training (Brammer et al., 2007; Opoku-Dakwa et al., 2018). In this section, we investigate how the US–China trade tensions affect the CSR performance of Chinese suppliers in terms of their focus on external and internal stakeholder groups.

According to Hexun, a firm's CSR performance can be evaluated across five dimensions: investors, employees, customer–supplier relationships, environmental commitment and community engagement. The employee dimension falls under internal CSR, while the others are classified as external CSR. We expect that Chinese suppliers affected by tariff surges may decrease their internal CSR performance following the US–China trade tensions. However, we do not expect them to reduce their external CSR performance. This is because internal CSR initiatives are less likely to add value to the firm if they are not effectively communicated to key stakeholders (Hawn & Ioannou, 2016), and such internal CSR issues may be excluded from the firm's agenda because of resource constraints (Yin et al., 2023). We substitute CSR in Equation (1) with a rating score for each of the five dimensions and estimate the specification separately. The results are reported in Table 8.

We find that the effects of the US–China trade tensions on Chinese suppliers' CSR performance differ across the five dimensions. Specifically, the treatment suppliers experience a decline in their CSR performance in relation to employees, environmental commitment and customer–supplier relationship, compared with the control group, while

⁷ We expand our analysis to underscore the influence of not only US corporate customers but also non-US corporate customers on Chinese suppliers in maintaining their CSR performance amid trade tensions. This broader perspective emphasizes the crucial role of the customer–supplier relationship in promoting CSR engagement across global supply chains. Our findings suggest that both highly CSR-conscious US and non-US corporate customers exert a significant impact on Chinese suppliers (untabulated), highlighting the interplay of CSR practices within the context of global trade tensions.

TABLE 7 The influence of CSR-conscious US corporate customers on the relationship between US–China trade tensions and the CSR performance of their Chinese suppliers.

Dependent variable: CSR	(1) Treatment firms with low CSR-conscious US corp. customers	(2) Treatment firms with high CSR-conscious US corp. customers
TREAT	0.763 (1.42)	−0.071 (−0.17)
POST	0.068 (0.47)	0.018 (0.12)
TREAT × POST	−1.345** (−2.20)	−0.234 (−0.45)
SIZE	1.097*** (9.95)	1.076*** (9.68)
LEV	−4.476*** (−6.76)	−4.497*** (−6.54)
ROA	64.519*** (31.38)	65.073*** (28.77)
CASH	7.287*** (7.90)	7.024*** (8.23)
BTM	−0.210 (−0.38)	0.583 (1.05)
AGE	−0.583* (−1.67)	−0.522 (−1.47)
SOE	−1.362*** (−5.05)	−1.377*** (−5.19)
BOARD	−0.158 (−0.31)	−0.165 (−0.33)
INSHOLD	1.956*** (4.52)	1.992*** (4.63)
Difference in coefficients	1.111	
(p-value)	(0.089)	
Observations	4367	4205
Industry fixed effects	Yes	Yes
R-squared	0.594	0.608

Note: This table reports estimates from regressions examining the influence of CSR-conscious US corporate customers on the relationship between US–China trade tensions and the CSR performance of their Chinese suppliers. The same control firms (3790 observations as reported in Table 2, panel B) are included in both groups as these control firms do not have US corporate customers. t-statistics are reported in parentheses. Heteroskedasticity-robust standard errors are clustered by firm. All the variables are defined in Appendix A. ***, ** and * indicate significance at 10%, 5% and 1%, respectively.

TABLE 8 Individual CSR dimensions of Chinese suppliers.

	(1)	(2)	(3)	(4)	(5)
Dependent variable	Investors	Employees	Customer–supplier relationships	Community	Environment
<i>TREAT</i>	−0.401** (−2.06)	0.064 (0.77)	0.247*** (2.94)	0.177 (1.09)	0.299*** (2.95)
<i>POST</i>	0.197** (2.01)	−0.021 (−1.00)	0.001 (0.19)	−0.150* (−1.73)	−0.003 (−0.34)
<i>TREAT × POST</i>	0.038 (0.17)	−0.170** (−2.46)	−0.240*** (−2.92)	−0.211 (−1.01)	−0.294*** (−2.90)
Observations	4782	4782	4782	4782	4782
Controls	Yes	Yes	Yes	Yes	Yes
Industry fixed effects	Yes	Yes	Yes	Yes	Yes
R-squared	0.682	0.118	0.028	0.209	0.028

Note: This table reports estimates from regressions examining the effect of US–China trade tensions on the individual CSR dimensions of Chinese suppliers. *t*-statistics are reported in parentheses. Heteroskedasticity-robust standard errors are clustered by firm. All the variables are defined in Appendix A. ***, ** and * indicate significance at 10%, 5% and 1%, respectively.

their CSR commitment to investors and community engagement remains stable. Additionally, we observe that the treatment suppliers engage in more CSR activities related to environmental commitment and the customer–supplier relationship in comparison with the control group. The net effects of the trade tensions on the treatment suppliers' CSR performance in these dimensions tend to offset each other, leaving the employee group as the most adversely affected stakeholder group. This suggests that the negative effects of the trade tensions on CSR performance are felt most strongly by the employees of Chinese suppliers.

6.2 | The moderating impact of operational resources and customer diversification

In this section, we explore how operational resources and customer diversification moderate the relationship between the US–China trade tensions and the CSR performance of Chinese suppliers.⁸ We expect that Chinese suppliers with greater operational resources will have the ability to withstand the reduced resources and narrower profit margins resulting from the US–China trade tensions, allowing them to maintain their CSR practices. By contrast, Chinese suppliers with limited operational resources are more likely to compromise on their CSR initiatives. Therefore, we expect that high operational slack will mitigate the negative impact of escalating tariffs on CSR performance.

Following the prior literature (Lam et al., 2022; Modi & Mishra, 2011), we use the ratio of property, plant and equipment (PPE) to sales as a proxy for operational slack, which is the inverse of production resource efficiency. To ensure comparability across industries, we normalize the ratio based on each industry. A higher value represents greater slack. We partition the sample into two groups according to whether the firm's PPE to sales ratio is above or below the industry median value. We re-estimate Equation (1) separately for each of these two groups. The results reported in panel

⁸ Additionally, we conduct an analysis focusing on the significance of US corporate customers. Defining the significance of US corporate customers based on their sales poses methodological challenges due to the unavailability of transaction value information in FactSet, a limitation recognized in existing literature (e.g., L. Dai et al., 2023). To address this limitation, we adopt an alternative approach by using the percentage of US corporate customers over the total corporate customers across all countries engaged by a Chinese supplier. While this metric serves as a proxy and does not directly measure sales volume, it provides an approximation of the relative importance of US corporate customers in a Chinese supplier's overall customer portfolio. We acknowledge the indirect nature of this proxy and recognize its limitations. The analysis involves forming subgroups based on the percentage of US corporate customers, above or below the sample median, revealing insights into the impact of tariff surges on CSR performance. This impact is more pronounced for those with greater exposure to US corporate customers (untabulated).

TABLE 9 The moderating impact of operational resources and customer diversification on the relationship between US–China trade tensions and the CSR performance of Chinese suppliers.

Panel A: Operational resources		
	(1)	(2)
Dependent variable: CSR	High operational slack	Low operational slack
<i>TREAT</i>	−0.023 (−0.04)	1.109** (2.20)
<i>POST</i>	0.193 (0.71)	−0.051 (−0.22)
<i>TREAT</i> × <i>POST</i>	−0.612 (−0.90)	−1.464** (−2.43)
Difference in coefficients		0.852
(<i>p</i> -value)		(0.347)
Observations	1782	1743
Controls	Yes	Yes
Industry fixed effects	Yes	Yes
R-squared	0.580	0.556
Panel B: Customer diversification		
	(1)	(2)
Dependent variable: CSR	High customer diversification	Low customer diversification
<i>TREAT</i>	0.185 (0.46)	0.719** (2.01)
<i>POST</i>	0.026 (0.17)	0.073 (0.47)
<i>TREAT</i> × <i>POST</i>	−0.429 (−0.90)	−1.455*** (−3.35)
Difference in coefficients		1.026
(<i>p</i> -value)		(0.149)
Observations	4226	4346
Controls	Yes	Yes
Industry fixed effects	Yes	Yes
R-squared	0.603	0.599

Note: This table reports estimates from regressions examining the moderating impact of operational resources and customer diversification on the relationship between US–China trade tensions and the CSR performance of Chinese suppliers. The same control firms (3790 observations as reported in Table 2, panel B) are included in both groups of panel B, as these control firms do not have US corporate customers. *t*-statistics are reported in parentheses. Heteroskedasticity-robust standard errors are clustered by firm. All the variables are defined in Appendix A. ***, ** and * indicate significance at 10%, 5% and 1%, respectively.

A, column 1 of Table 9 indicate that Chinese suppliers with high operational slack are able to maintain their CSR practices despite the US–China trade tensions, while those with low operational slack experience a substantial decline in CSR performance relative to the control group as evidenced by the significantly negative coefficient for *TREAT* × *POST* in column 2. Although the observed treatment effect lacks statistical significance between the two groups, it is important to underscore the economic significance in conjunction with statistical measures. To illustrate, the coefficient for

$TREAT \times POST$ in column 2 is twice that of the coefficient in column 1, highlighting the substantial economic impact of the reduction in CSR performance for Chinese suppliers with low operational slack. These results are consistent with our expectation that suppliers with high operational slack can alleviate the adverse effects of tariff surges on CSR performance.

Next, we investigate how the customer base can moderate the relationship between the US–China trade tensions and the CSR performance of Chinese suppliers. Having a highly concentrated customer base can be risky because the supplier may lose future revenues if it loses a major customer (Dhaliwal et al., 2016). Indeed, Jiao et al. (2022) find that Chinese exporting firms experience a reduction in exports to the United States following the US–China trade tensions. However, these firms are unable to expand quickly into new markets to mitigate the adverse effects of the trade tensions on their US exports, partly due to a lack of sales channels and distribution networks, different product standards and a lack of brand awareness in other foreign markets. Thus, we expect that increasing customer diversification can alleviate the disruption caused by trade tensions.

We utilize the Herfindahl–Hirschman index to capture customer diversification (HHI), taking into consideration the number of major customers identified by the supplier and their presence in diverse countries, as shown in Equation (4).

$$Customer\ HHI_{i,t} = \sum_{k=1}^n (Country\ Share_{i,j,k,t})^2, \quad (4)$$

where i indexes the firm, j indexes the country, k indexes a major customer, and t indexes the year. A lower value of the HHI indicates that the supplier has a more diverse customer base across various countries. We divide the sample into two groups based on whether the firms' HHI is higher or lower than the sample median. We then re-estimate Equation (1) separately for each of these two groups. As shown in column 1 of panel B, Chinese suppliers that have a diversified customer base can sustain their CSR practices despite the escalating tariffs, whereas those with a less diverse customer base experience a significant reduction in CSR performance, compared with the control group, as indicated by the significantly negative coefficient for $TREAT \times POST$ in column 2. While the treatment effect does not exhibit statistical significance between the two groups based on the result of the test of differences, it is crucial to emphasize the economic significance alongside statistical measures. Specifically, the coefficient for $TREAT \times POST$ in column 2 is more than triple the coefficient in column 1, underscoring that the reduction in CSR performance for Chinese suppliers with a less diverse customer base is economically substantial. These results support our expectation that suppliers with a broad range of customers, spanning various countries, can effectively mitigate the negative impact of the trade tensions on their CSR performance.

6.3 | Managerial short-termism

In addition to organizational conditions that affect survival prospects, the literature attributes the tendency toward short-termism to managerial myopia, which focuses overly on short-term profits while avoiding future-oriented investments that incur costs in the present but yield benefits in the future (Bushee, 1998, 2001; Flammer & Bansal, 2017; Stein, 1988). Managers often prioritize their preferences when allocating resources, which results in agency costs when their interests conflict with those of the firm's owners. A survey study by Graham et al. (2005) reveals that managers perceive hefty market penalties for missing analysts' earnings estimates. As a result, they may forgo long-term projects with a positive net present value to meet market expectations for short-term earnings. Similarly, Xia Chen et al. (2015) find that managers are less likely to make optimal resource allocations when faced with short-term performance pressure. As such, we investigate whether our findings are driven by this alternative explanation.

We employ two metrics to measure managerial short-termism. The first metric combines the expected tenure and age of the chief executive officer (CEO) adjusted for the industry average to serve as a proxy for short-termism (*Horizon*). This is based on the idea that CEOs who are approaching retirement age or have been in their position for

a long time may prioritize short-term gains over long-term value creation and are, therefore, more likely to exhibit short-termism. Following Lee et al. (2018) and Y. Li et al. (2021), we construct the measure for *Horizon* as follows:

$$Horizon_{i,t} = (CEOTenure_{average} - CEOTenure_{i,t}) + (CEOAge_{average} - CEOAge_{i,t}), \quad (5)$$

where *CEOTenure* is the number of years a CEO has served in that position. *CEOAge* refers to the age of the CEO. To measure managerial short-termism, we use an industry-adjusted expected decision length, which is calculated based on two variables: *CEOTenure_{average}* and *CEOAge_{average}*. *CEOTenure_{average}* represents the average tenure of CEOs in a given industry, while *CEOAge_{average}* denotes the average age of CEOs in that industry. A lower value of *Horizon* indicates a CEO's tendency toward short-termism.⁹

After segmenting the sample into two groups, one with *Horizon* values above the industry median and the other with values below it, Equation (1) is recalculated independently for each group. As presented in panel A of Table 10, the coefficient assigned to *TREAT* × *POST* is statistically significant for the group with a longer decision horizon, while it lacks significance for the group with a shorter decision horizon. These findings deviate from our initial anticipation based on the managerial short-termism explanation. This suggests that the decrease in CSR performance among suppliers affected by the US–China trade tensions cannot convincingly be attributed to managerial short-termism.

Next, we measure the level of managerial short-termism by examining the equity incentives of managers. In China, this method has only been in use for a limited time. We adopt the approach used by Cao et al. (2019), which involves multiplying the number of shares held by executives by the closing share price at the end of a given year. Based on the industry median value, we categorize the sample into two groups: high and low equity incentives. We then conduct separate regression analyses for each group. If managerial myopia affects a firm's CSR performance, we expect a negative effect of the trade tensions on CSR performance for suppliers with executives who have low equity incentives but no impact for suppliers with executives who have high equity incentives.

As shown in panel B, column 1, suppliers with executives who have high equity incentives exhibit a significant decline in CSR performance when affected by trade tensions. By contrast, there is no discernible difference in the change in CSR performance between the suppliers that are affected by trade tensions and those that remain unaffected when the executives have low equity incentives. The results are not in line with our initial expectation for the managerial short-termism explanation, suggesting that the reduction in CSR performance among suppliers affected by the US–China trade tensions is unlikely to be ascribed to managerial short-termism.

6.4 | Testing the parallel trends assumption

To verify the parallel trends assumption underlying the DiD estimation, we utilize the propensity score matched sample. We extend the sample period to 2015 and replace *POST* in Equation (1) with three dummy variables: *YEAR2015*, *YEAR2016*, and *YEAR2017*. These dummies denote indicators for the pre-trade conflict period, representing 3 years, 2 years and 1 year before the trade tensions escalated, respectively. Additionally, we include *YEAR2019* to represent the post-trade conflict period, signifying 1 year after the trade tensions intensified. The results in Table 11 show that the coefficients for the interaction terms between *TREAT* and *YEAR2015*–*YEAR2017* are statistically insignificant, while the coefficient for the interaction term between *TREAT* and *YEAR2019* is significantly positive. These findings suggest that there were no significant differences in the CSR performance of treatment and control suppliers before the onset of US–China trade tensions. It is only after the escalation of trade tensions that the findings show treatment suppliers experiencing a significant decline in their CSR performance, compared with the control group. Thus, the results satisfy the parallel trends assumption.¹⁰

⁹ For example, a negative value for *Horizon* suggests that the CEO has a shorter decision-making horizon than the industry average, possibly due to being older or having a longer tenure in the current position. Conversely, a positive value indicates that the CEO has a longer decision-making horizon than the industry average, potentially due to being relatively younger or having a shorter tenure in their present role.

¹⁰ Our primary findings remain consistent when we employ the extended sample to estimate Equation (1) (untabulated).

TABLE 10 Managers' short-termism as an alternative explanation.

Panel A: CEO decision horizon		
	(1)	(2)
Dependent variable: CSR	Long decision horizon	Short decision horizon
<i>TREAT</i>	0.389 (0.73)	0.671 (1.31)
<i>POST</i>	0.004 (0.02)	0.231 (0.92)
<i>TREAT</i> × <i>POST</i>	−0.936* (−1.70)	−0.799 (−1.31)
Observations	1782	1743
Controls	Yes	Yes
Industry fixed effects	Yes	Yes
R-squared	0.580	0.556
Panel B: Executives' equity incentives		
	(1)	(2)
Dependent variable: CSR	High equity incentives	Low equity incentives
<i>TREAT</i>	0.312 (0.64)	0.825 (1.46)
<i>POST</i>	0.022 (0.12)	0.249 (0.96)
<i>TREAT</i> × <i>POST</i>	−1.128** (−2.01)	−0.496 (−0.77)
Observations	2313	1212
Controls	Yes	Yes
Industry fixed effects	Yes	Yes
R-squared	0.577	0.584

Note: This table reports estimates from regressions examining managers' short-termism as an alternative explanation. *t*-statistics are reported in parentheses. Heteroskedasticity-robust standard errors are clustered by firm. All the variables are defined in Appendix A. CEO, chief executive officer. ***, ** and * indicate significance at 10%, 5% and 1%, respectively.

7 | CONCLUSION

In this study, we explore the impact of the US–China trade tensions on the CSR performance of the Chinese suppliers that were most affected by the 2018 US tariff surges. Using a DiD approach, we show that Chinese suppliers with direct US customers are experiencing a significant decline in their CSR performance, compared with those without direct US customers. Moreover, we observe that the negative impact of the tariff surges on CSR performance is particularly evident among suppliers with a strong cost leadership strategy. However, the CSR performance of suppliers that have direct US corporate customers with high CSR awareness is not affected by the tariff surges.

TABLE 11 Testing the parallel trends assumption.

Dependent variable	(1) CSR
$TREAT \times YEAR2015$	−0.799 (−0.87)
$TREAT \times YEAR2016$	−0.825 (−0.76)
$TREAT \times YEAR2017$	−0.693 (−0.87)
$TREAT \times YEAR2019$	−2.042** (−2.49)
Observations	4602
Controls	Yes
Industry fixed effects	Yes
R-squared	0.355

Note: This table presents the results of the parallel trends test. t-statistics are reported in parentheses. Heteroskedasticity-robust standard errors are clustered by firm. All the variables are defined in Appendix A. ***, ** and * indicate significance at 10%, 5% and 1%, respectively.

Furthermore, we find that the adverse effects of the trade tensions on CSR performance are concentrated among the employees of Chinese suppliers. However, the negative impact on CSR performance is alleviated for suppliers who possess high levels of operational slack and customer diversification. Finally, we find no evidence to support the conjecture that the decline in CSR performance of Chinese suppliers following the trade tensions is due to managerial short-termism as an alternative explanation.

This study highlights the adverse consequences of the US–China trade tensions and deglobalization on the CSR performance of Chinese suppliers. It reveals that external pressures, such as tariff surges, can cause firms to prioritize short-term outcomes over long-term value, with potentially significant ramifications for future trade policy decisions. Furthermore, the findings suggest that suppliers pursuing differentiation tend to prioritize CSR engagement to ensure sustainability and maintain CSR performance, while those prioritizing cost leadership tend to lower their CSR commitment to stay competitive. Therefore, suppliers following a cost leadership strategy may need to re-evaluate their approach, considering the corporate demands for CSR involvement and the challenges posed by deglobalization. Finally, this study emphasizes the importance of the customer–supplier relationship in promoting CSR engagement. While the deglobalization wave poses challenges to the diffusion of CSR throughout global supply chains, Chinese suppliers' CSR performance can be significantly influenced by the growing demand for CSR engagement from their US customers.

ACKNOWLEDGMENTS

We appreciate the helpful comments and suggestions from the editor Andrew Stark, an anonymous reviewer, Peter Clarkson, Jörg-Markus Hitz, Kuan-Cheng Ko (discussant), Le Luo (discussant), Grant Richardson, conference participants at the 2023 ESG and Management Innovation International Conference, and workshop participants at Macquarie University.

Open access publishing facilitated by Macquarie University, as part of the Wiley–Macquarie University agreement via the Council of Australian University Librarians.

DATA AVAILABILITY STATEMENT

The data that support the findings of this study are publicly available from the sources cited in the paper.

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How to cite this article: Cao, Y., Chen, J., Chen, X. C., & Lu, M. (2025). Compromise in hard times? The impact of deglobalization on corporate social responsibility in the US–China supply chain. *Journal of Business Finance & Accounting*, 52, 127–157. <https://doi.org/10.1111/jbfa.12803>

APPENDIX A: VARIABLE DEFINITIONS

Variable	Definition
Dependent variables	
CSR	A firm's CSR performance rating score as provided by Hexun's rating
CSR_ASSET4	A firm's CSR performance rating score as obtained from Refinitiv's ESG database
Explanatory variables	
TREAT	A dummy variable that equals 1 if the Chinese supplier operates in industries subject to the 2018 US tariff surges with direct US customers and 0 otherwise
POST	A dummy variable that equals 1 for the post US–China trade conflict period and 0 otherwise
Control variables	
SIZE	The natural logarithm of total assets
LEV	The total liabilities divided by total assets
ROA	The ratio of net income divided by total assets
CASH	The ratio of cash and cash equivalents divided by total assets
BTM	The ratio of the book value of equity to the market value of equity
AGE	The natural logarithm of the number of years for which the firm has been publicly listed
SOE	A dummy variable equal to 1 if the firm is a state-owned enterprise and 0 otherwise
BOARD	The natural logarithm of the number of board members
INSHOLD	The percentage of institutional ownership
Other variables	
ROE	The ratio of net income before extraordinary items to total equity
CONGLO	The degree of firm diversification, a dummy variable equal to 1 if the firm reports at least two business segments and 0 otherwise
SG	The sales in the current year minus the sales in the previous year, divided by the sales in the previous year
Cost leadership competencies	The firm's cost leadership competencies measured by calculating the ratio of selling and administrative expenses to total sales. To standardize the measure, the deviation from the industry median is calculated and divided by the possible range of values for each industry-year. Equation (2) provides further details
Differentiation competencies	The firm's differentiation competencies measured by calculating the ratio of R&D expenses to total sales. To standardize the measure, the deviation from the industry median is calculated and divided by the possible range of values for each industry-year. Equation (3) provides further details
Operation slack	The ratio of PPE to sales. The ratio is then normalized based on each industry
HHI	The Herfindahl–Hirschman index, utilized to measure customer diversification, taking into consideration the number of major customers identified by the supplier and their significance to the supplier's annual sales. Equation (4) provides further details
Horizon	The CEO's expected tenure and age adjusted for the industry average. Equation (5) provides further details
Equity incentives	The value obtained by multiplying the number of shares held by executives with the closing share price at the end of the year

APPENDIX B: EXAMPLES OF HOW TO IDENTIFY INDUSTRIES AFFECTED BY US-CHINA TRADE TENSIONS

Example 1

For the product “Wallpaper and similar wall coverings; coated or covered on the face side, with a grained, embossed, colored, design-printed or otherwise decorated layer of plastics,” subject to tariff increases due to the US–China trade tensions, we begin with its HS six-digit code, 481420. Subsequently, using the International Standard ISIC Revision 4, we associate this HS code with the principal activity related to the manufacture of other articles of paper and paper-board, linking it to the ISIC code 1709. Finally, aligning ISIC with the CSRC industry classification, we connect ISIC code 1709 with CSRC code C22, corresponding to the papermaking and paper product industry. This categorization is reflected in the industry for paper and allied products in Table 1, panel B.

Example 2

For the product “Plans and drawings; for architectural, engineering, industrial, commercial, topographical or similar, being originals drawn by hand; hand-written texts; photographic reproductions; their carbon copies,” subject to tariff increases due to the US–China trade tensions, we begin with HS six-digit code, 490600. Subsequently, using ISIC Revision 4, we associate this HS code with the principal activity related to the architectural and engineering activities and related technical consultancy, linking it to ISIC code 7110. Finally, aligning ISIC with CSRC industry classification, we connect ISIC code 7110 with CSRC code M74, corresponding to the professional technical service industry. This categorization is reflected in the industry for technical services in Table 1, panel B.

Example 3

For the product “Acids; carboxylic acids, (with phenol function but without other oxygen function), salicylic acid and its salts,” subject to tariff increases due to the US–China trade tensions, we begin with HS six-digit code, 291821. Subsequently, using ISIC Revision 4, we associate this HS code with the principal activity related to the architectural and engineering activities and related technical consultancy, linking it to ISIC code 2100. Finally, aligning ISIC with CSRC industry classification, we connect ISIC code 2100 with CSRC code C26, corresponding to the pharmaceutical industry. This categorization is reflected in the industry for chemicals and allied products in Table 1, panel B.